

		Defendants shall give notice of this ruling.
8	Ramirez vs. City of Santa Ana 30-2022-01287702	<u>Motion to Disqualify and for Sanctions</u> Defendant City of Santa Ana's Motion for Disqualification and Motion for Sanctions Against Plaintiff's Counsel for Use of Fake AI Cases and Further Misrepresentations of Law to this Court is GRANTED in part and DENIED in part. The court DENIES Defendant City of Santa Ana's request to disqualify Plaintiff Rita Ramirez's counsel of record. The court GRANTS in part Defendant City of Santa Ana's request for monetary sanctions against Plaintiff Rita Ramirez. Counsel for Plaintiff Rita Ramirez are ORDERED to pay Defendant City of Santa Ana sanctions in the amount of \$12,000 within 30 days of this ruling. Counsel for Plaintiff Rita Ramirez are ORDERED to serve a copy of this ruling on Plaintiff Rita Ramirez. The court clerk is ORDERED to serve a copy of this ruling on the State Bar of California. <u>Pending Motion</u> Defendant City of Santa Ana moves to disqualify counsel for Plaintiff Rita Ramirez and for monetary sanctions in the amount of \$25,000 against counsel for Plaintiff Rita Ramirez. <u>Stay on Appeal</u> On June 8, 2026, Plaintiff filed a notice of appeal of the order issued April 10, 2026, granting Defendant's motion for new trial and motion for judgment notwithstanding the verdict. (See ROA #963.) On August 17, 2026, Plaintiff filed a notice of appeal of the judgment entered on July 1, 2026. (See ROA #1022.) As an initial matter, Plaintiff contends that this court cannot hear this motion because the filing of the notice of appeal stays proceedings in this court.

		The Civil Procedure Code provides that: Except as provided in Sections 917.1 to 917.9, inclusive, and in Section 116.810, the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order. (Code Civ. Proc., § 916, subd. (a).) Thus, the perfecting of an appeal results in an automatic stay of matters embraced or affected by the appeal, and it “divests the trial court of jurisdiction over the subject matter on appeal – i.e., jurisdiction in its fundamental sense.” (<i>Varian Medical Systems, Inc. v. Delfino</i> (2005) 35 Cal.4th 180, 198.) “The purpose of the automatic stay ‘is to protect the appellate court’s jurisdiction by preserving the status quo until the appeal is decided.’” (<i>City of Santa Maria v. Adam</i> (2012) 211 Cal.App.4th 266, 311, quoting <i>Elsea v. Saberi</i> (1992) 4 Cal.App.4th 625, 629.) However, by its terms, Section 916 only stays “proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order.” (Code Civ. Proc., § 916, subd. (a).) The stay does not apply to “any other matter embraced in the action and not affected by the judgment or order” from which the appeal is taken. (<i>Ibid.</i>) “In determining whether a proceeding is embraced in or affected by the appeal, we must consider the appeal and its possible outcomes in relation to the proceeding and its possible results.” (<i>Varian Medical Systems, Inc. v. Delfino, supra</i>, 35 Cal.4th at p. 189.) “[A] proceeding affects the effectiveness of the appeal if the very purpose of the appeal is to avoid the need for that proceeding. In that situation, the proceeding itself is inherently inconsistent with a possible outcome on appeal and must therefore be stayed under section 916, subdivision (a).” (<i>Id.</i> at p. 190.)
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		Because this motion is based on Plaintiff's alleged citation to nonexistent cases and other alleged misrepresentations made by Plaintiff in briefing, this motion will need to be heard and decided regardless of the decision in the appeal. In <i>Varian Medical Systems, Inc. v. Delfino</i>, the Court of Appeal noted that "an appeal from an order denying a motion to disqualify counsel does not automatically stay further trial court proceedings on the merits because such proceedings would occur regardless of whether the reviewing court affirms or reverses the order." (<i>Varian Medical Systems, Inc. v. Delfino, supra</i>, 35 Cal.4th at p. 191.) Here, the converse is true. An appeal on the merits does not automatically stay further proceedings on a motion to disqualify, because both issues (the merits and the motion to disqualify) are ancillary and collateral to each other. <u>Standard to Disqualify Counsel</u> Courts have the authority to disqualify counsel based on "the power inherent in every court '[t]o control in furtherance of justice, the conduct of its ministerial officers, and of all other persons in any manner connected with a judicial proceeding before it, in every matter pertaining thereto.'" (<i>In re Charlissee C.</i> (2008) 45 Cal.4th 145, 159-161, quoting Code Civ. Proc., §128, subd. (a)(5)); see <i>In re Complex Asbestos Litig.</i> (1991) 232 Cal.App.3d 572, 585 [same].) A court may exercise this power when it is shown that "disqualification is required under professional standards governing avoidance of conflicts of interest or potential adverse use of confidential information." (<i>Havasu Lakeshore Investments, LLC v. Fleming</i> (2013) 217 Cal.App.4th 770, 777, quoting <i>Oaks Management Corp. v. Superior Court</i> (2006) 145 Cal.App.4th 453, 462.) At the same time, "[s]peculative contentions of conflict of interest cannot justify disqualification of counsel." (<i>Castro v. Los Angeles County Bd. of Supervisors</i> (1991) 232 Cal.App.3d 1432, 1442.) Further, "an appearance of impropriety by itself does not support a lawyer's disqualification." (<i>DCH Health Services Corp. v. Waite</i> (2002) 95 Cal.App.4th 829, 833.)
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		["Disqualification is neither intended to be punitive nor formalistic."].) Factors to consider in evaluating a motion to disqualify include: 1) a party's right to counsel of their choice, 2) an attorney's interest in representing the client, 3) the financial burden on the client to replace a disqualified attorney, 4) the possibility the motion for disqualification is being brought for improper tactical reasons, and 5) the principle that the fair resolution of disputes requires vigorous representation of parties by independent counsel. (See <i>People ex rel. Dep't of Corps. v. Speedee Oil Change Systems, Inc.</i>, <i>supra</i>, 20 Cal.4th at pp. 1144-1145; <i>Mills Land & Water Co. v. Golden West Refining Co.</i> (1986) 186 Cal.App.3d 116, 126.) <u>Ethical Rules and Laws</u> An attorney has a duty "never to seek to mislead the judge or any judicial officer by an artifice or false statement of fact or law." (Bus. & Prof. Code, § 6068, subd. (d).) In addition, the Rules of Professional Conduct state that a lawyer shall not "knowingly make a false statement of fact or law to a tribunal or fail to correct a false statement of material fact or law previously made to the tribunal by the lawyer" and shall not "knowingly misquote to a tribunal the language of a book, statute, decision or other authority." (Cal. Rules of Prof. Code Rule 3.3, subd.s (a)(1), (a)(2).) Further, the California Rules of Court prohibit citation to an opinion that is not "certified for publication or ordered published." (Cal. Rules of Court, rule 8.1115(a).) Thus, an attorney is barred from citing to a nonexistent case. (See <i>People v. Alvarez</i> (2025) 114 Cal.App.5th 1115, 1119 ["He also violated rule 8.1115(a) of the California Rules of Court, which prohibits citation to unpublished opinions, because he cited a non-existent case."].) In one case, the Court of Appeal noted that: [N]early all of the quotations in plaintiff's opening brief, and many of the quotations in plaintiff's reply brief, have been fabricated. That is, as noted above, although most of the cases to which the quotes are attributed exist, the quotes do not. Further, many of the cases
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		plaintiff cites do not support the propositions for which they are cited or discuss other matters entirely, and a few of the cases do not exist at all. <i>(Noland v. Land of the Free, L.P. (2025) 114 Cal.App.5th 426, 435.)</i> The “fabricated legal authorities were created by generative artificial intelligence (AI) tools that plaintiff's counsel used to draft his appellate briefs. The AI tools created fake legal authority — sometimes referred to as AI ‘hallucinations’ — that were undetected by plaintiff's counsel because he did not read the cases the AI tools cited.” <i>(Id. at p. 430.)</i> Plaintiff’s counsel admitted to the use of generative AI, stated he was not aware of the “AI hallucinations,” and acknowledged his use of generative AI to prepare the briefs was “inexcusable,” but claimed that he had not intended to deceive the court. <i>(Id. at pp. 443-445.)</i> Nonetheless, the Court of Appeal held that “no brief, pleading, motion, or any other paper filed in any court should contain any citations — whether provided by generative AI or any other source — that the attorney responsible for submitting the pleading has not personally read and verified.” <i>(Id. at p. 431.)</i> <u>Citations to Non-Existent Cases and Misrepresentations of Law</u> Here, Defendant points to the fact that Plaintiff’s Counsel cited to three nonexistent cases in the November 17, 2025 opposition to Defendant’s motion for nonsuit. (See ROA #726.) The opposition contained the following footnote: Complaints of FEHA violations are indisputably disclosures of statutory/rule/regulation violations for purposes of <i>Labor Code</i> Section 1102.5 liability purposes. <i>Favia v. Liberty Mutual Insurance Co.</i>, (2023) 89 Cal.App.5th 476; <i>Taswell v. Regents of UC</i>, (2018) 23 Cal.App.5th 343; <i>People v. McVeigh</i>, (2020) 47 Cal.App.5th 698; <i>Mize-Kurima v. Marshalls of CA, LLC</i>, (2015) 218 Cal.App.4th 1367. <i>(Id. at p. 13, fn.8.)</i>
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		While the proposition stated is true, <i>Favia v. Liberty Mutual</i>, <i>People v. McVeigh</i>, and <i>Mize-Kurima v. Marshalls of CA, LLC</i> do not exist. Further, <i>Taswell v. Regents of UC</i> is not a Fair Employment and Housing Act (FEHA) case and does not stand for the proposition stated. Plaintiff's Counsel does not dispute these errors, has accepted responsibility, apologized to the court, and made corrections to the brief. (See Decl. of Lawrence J. Lennemann in Supp. of Pltf.'s Opp'n to Def.'s Mot. for Disqualification and Sanctions, ¶ 7.) Defendant also points to a portion of the memorandum of points and authorities from Plaintiff's December 23, 2025, motion for attorney's fees, in which Plaintiff's Counsel argued: In determining a reasonable rate for the attorneys' services, courts are to consider: (1) the prevailing rate charged by attorneys of similar skill and experience for comparable legal services in the community; (2) the nature of the work performed; and (3) the attorney's customary billing rates. <i>Serrano v. Unruh</i> (1982) 32 Cal.3d 621, 643. (ROA #832 at p. 13:12-16.) Defendant contends that the statement that courts should consider "the attorney's customary billing rates" is not supported by <i>Serrano v. Unruh</i>. In fact, the Supreme Court in <i>Serrano v. Unruh</i> was focused on attorney's fees awards for the work of public-interest lawyers and therefore rejected the idea that the award should be calculated based on the public-interest lawyers' "customary billing rates" or their salaries. (See <i>Serrano v. Unruh</i> (1982) 32 Cal.3d 621, 643 ["We therefore hold that the trial court did not abuse its discretion in denying discovery of the salaries paid and the overhead costs of the organizations employing plaintiffs' attorneys. Services compensable under section 1021.5 are computed from their reasonable market value. The trial court was entitled to use the prevailing billing rates of comparable private attorneys as the 'touchstone' for determination of that value."].) It is true that there is support for the proposition that the court may consider an attorney's customary billing. (See <i>White v. City of Richmond</i> (9th Cir. 1983)
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		713 F.2d 458, 461 [“While evidence of counsel's customary hourly rate may be considered by the District Court, it is not an abuse of discretion in this type of case to use the reasonable community standard that was employed here.”], disapproved of on other grounds, <i>Pennsylvania v. Delaware Valley Citizens' Council for Clean Air</i> (1987) 483 U.S. 711.) However, Plaintiff’s Counsel’s citation to <i>Serrano v. Unruh</i> for that proposition is still misleading. Defendant also contends that Plaintiff’s counsel misrepresented case law in her March 13, 2026 oppositions to Defendants’ motion for new trial and Defendant’s motion for judgment notwithstanding the verdict. Defendant points to the following citation in the opposition to the motion for new trial: <i>Karlsson v. Ford Motor Co.</i> (2006) 140 Cal.App.4th 1202, 1227-1228 – unsuccessful motion in limine seeking to preclude evidence of manufacturer’s alleged discovery abuses concerning destruction of documents did not preserve for appeal alleged error in plaintiff’s closing argument concerning that evidence. (ROA #900 at p. 9:14-17.) Defendant argues that <i>Karlsson v. Ford Motor Co.</i> is distinguishable from this case and is more similar to a <i>People v. Wharton</i> (1991) 53 Cal.3d 522, a case cited in <i>Karlsson v. Ford Motor Co.</i> Defendant also contends that Plaintiff’s failure to cite to <i>People v. Wharton</i> , which is more analogous to this case, is also misleading to the court. However, <i>Karlsson v. Ford Motor Co.</i> does stand for the proposition for which it as cited. Thus, Plaintiff’s citation to the case falls within the bounds of permissible, if not particularly persuasive, argument in light of the differences in the underlying facts. Defendant also refers to the following statement made in a footnote in the opposition to the motion for judgment notwithstanding the verdict: California law states that one can have objectively reasonable cause to believe the reported conduct is unlawful without having actually considered whether the conduct was
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		unlawful. <i>Vatalaro v. County of Sacramento</i> (2022) 79 Cal.App.5th 367, 380-383. (ROA #912 at p. 6, fn.9.) This citation does not support the proposition set forth by Plaintiff. The pages of <i>Vatalaro v. County of Sacramento</i> cited by Plaintiff's Counsel only discuss whether "reasonable cause to believe" is the same as "reasonably believes." (See <i>Vatalaro v. County of Sacramento</i> (2022) 79 Cal.App.5th 367, 380-383.) The citation thus is misleading. Nonetheless, Plaintiff's Counsel's conduct is not sufficient to warrant disqualification. While Plaintiff's Counsel's non-existent and misleading citations are a serious matter and a violation of the Rules of Court, they are not violations of the ethical rules or statutes, which require that counsel's actions be made "knowingly." Here, there is insufficient evidence that Plaintiff's Counsel acted with knowledge that his citations were non-existent or misleading. This is supported by the fact that two of the four propositions were true. The problem was that the citations were non-existent or did not support the propositions. In addition, one of the propositions was supported by the citation, albeit not in a particularly persuasive manner. Further, the court is aware that Plaintiff's Counsel was required to prepare a large volume of briefing in a relatively short period time, which explains (although does not excuse) their use of artificial intelligence. In addition, Plaintiff's Counsel's breaches are unlikely to have a substantial continuing effect on future proceedings. In fact, as pointed out by Plaintiff's Counsel, the non-existent citations and misleading citations did not have a great effect on the proceedings for which the citations were made. Finally, the court must consider Plaintiff's right to counsel of her choice, the financial burden on the client to replace a disqualified attorney, and the principle that the fair resolution of disputes requires vigorous representation of parties by independent counsel. (fn.1)
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		(fn.1) The court was provided little or no evidence regarding the other factors it should consider: an attorney's interest in representing the client and the possibility the motion for disqualification is being brought for improper tactical reasons. Here, much of the burden of disqualification will not fall upon Plaintiff's Counsel, but upon Plaintiff, who is blameless here, given the nature of the transgressions. Thus, the court will deny the motion for disqualification. <u>Monetary Sanctions</u> However, merely because the court has determined that disqualification is no appropriate does not lead to the conclusion that other sanctions should not be applied. California Rules of Court rule 2.30(b) provides that "[i]n addition to any other sanctions permitted by law, the court may order a person, after written notice and an opportunity to be heard, to pay reasonable monetary sanctions to the court or an aggrieved person, or both, for failure without good cause to comply with the applicable rules." (Cal. Rules of Court, rule 2.30(b).) In addition, in <i>Noland v. Land of the Free, L.P.</i> "Attorney Mostafavi's fabricated citations and erroneous statements of law have required this court to spend excessive time on this otherwise straightforward appeal to attempt to track down fabricated legal authority and then to research the issues presented." (<i>Noland v. Land of the Free, L.P.</i> (2025) 114 Cal.App.5th at pp. 447-448.) On this basis, the Court of Appeal "conclude[d] that an award of sanctions payable to the court is appropriate." (<i>Id.</i> at p. 448.) The <i>Noland v. Land of the Free, L.P.</i> Court then imposed sanctions of \$10,000 against counsel for relying on fabricated legal authority, pursuing a frivolous appeal, and "for conduct that unnecessarily burdens the court and the taxpayers" and in order to "compensate the government for its expense in processing, reviewing and deciding a frivolous appeal." (<i>Id.</i> at pp. 442, 447.)
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		Plaintiff’s counsel was also ordered to serve a copy of the opinion on his client and the clerk was directed to serve a copy of the opinion to the State Bar. (<i>Id.</i> at p. 448.) Here, as in <i>Noland v. Land of the Free, L.P.</i>, Plaintiff’s Counsel violated the California Rules of Court by citing to non-existent case law. In addition, Plaintiff’s Counsel also made citations that were misleading. (See <i>Perry v. Kia Motors America, Inc.</i> (2023) 91 Cal.App.5th 1088, 1095–1096 [“An attorney is an officer of the court and owes the court a duty of candor’ ‘It is the duty of an attorney . . . [¶] . . . [¶] . . . [t]o employ, for the purpose of maintaining the causes confided to him or her those means only as are consistent with truth, and never to seek to mislead the judge or any judicial officer by an artifice or false statement of fact or law.”], quoting <i>Levine v. Berschneider</i> (2020) 56 Cal.App.5th 916, 921 & Bus. & Prof. Code, § 6068, subd. (d); see also <i>Paine v. State Bar</i> (1939) 14 Cal.2d 150, 154 [“Honesty in dealing with the courts is of paramount importance, and misleading a judge is, regardless of motives, a serious offense.”]; <i>Furlong v. White</i> (1921) 51 Cal.App. 265, 271 [“Counsel should not forget that they are officers of the court, and while it is their duty to protect and defend the interests of their clients, the obligation is equally imperative to aid the court in avoiding error and in determining the cause in accordance with justice and the established rules of practice.”].) Here, Plaintiff’s Counsel’s non-existent and misleading citations have caused the court and Defendant to expend valuable time and resources. Thus, the court will grant the motion for monetary sanctions payable to Defendant. However, the court will not order sanctions of the entire amount requested by Defendant because not all of Plaintiff’s Counsel conduct was improper, several of the non-existent and misleading citations related to issues that were not central to proceedings before the court, and the full measure of sanctions is not necessary to deter future misconduct by Plaintiff’s Counsel. Finally, the improper citations were the work of Plaintiff’s Counsel and not Plaintiff. Therefore it is appropriate to impose sanctions on Plaintiff’s Counsel. (Cf. <i>Ghanooni v. Super Shuttle</i> (1993) 20 Cal.App.4th
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		256, 261, ["[M]onetary sanctions against the party's attorney require a finding [that] the 'attorney advis[ed] that conduct.'"], quoting Code Civ. Proc., § 2023, subd. (b)(1).) Defendant shall give notice of this ruling.
9	Creditors Adjustment Bureau, Inc. vs. Industrial Succession, LLC 30-2025-01534147	<u>Motions to Be Relieved as Counsel</u> Counsel James R. Ling's Motion to Be Relieved as Counsel for Defendant Industrial Succession, LLC is taken OFF CALENDAR as moot. Counsel James R. Ling's Motion to Be Relieved as Counsel for Defendant Pen Manufacturing, LLC is taken OFF CALENDAR as moot. <u>Pending Motion</u> Counsel James R. Ling (Counsel) moves to be relieved as counsel for Defendants Industrial Succession, LLC and Pen Manufacturing, LLC. <u>Substitution of Counsel</u> On June 3, 2026, Substitutions of Counsel were filed indicating that Counsel Brett H. Ramsaur was substituting for Counsel James R. Ling, as counsel of record for Defendants Industrial Succession, LLC and Pen Manufacturing, LLC. (See ROA #56, #57.) As a result, Counsel James R. Ling is no longer counsel of record for Defendants Industrial Succession, LLC and Pen Manufacturing, LLC in this litigation. Accordingly, motions to be relieved as counsel are moot and shall be taken off calendar. The court clerk shall give notice of this ruling.